expect unquestioning cooperation.'[1] As noted before, Montagu's 'Hindoo marriage' in reality 'envisaged a gradual tightening and refinement of metropolitan control over Indian monetary policies in the imperial interest.'[2] Norman, while he wanted the RBI to be in a position to stand up to a future government dominated by Indians, did not want it to be in a position to stand up to the Bank of England.

It was with this object in view that Smith was made the Managing Governor of the Imperial Bank in 1926. Unfortunately, the 1927 and 1928, RBI Bills could not be passed, and he had to wait till April 1935 to become the RBI Governor. His appointment as Governor was well received in business and financial circles with *The Indian Finance* calling him 'just the round peg in the round hole.'[3] But Smith's tenure was destined to be a very short one. He resigned in October 1936 but was deemed to be on official leave till the end of June 1937. Smith's term was punctuated by considerable controversy and conflicts. The official history of the RBI (1935–51) throws little or no light on this period. E.P.W. da Costa's (1985) hurriedly commissioned book for the RBI's golden jubilee, merely echoed the views given in the official history and even made the misleading statement that the actual points of dispute were not available in documents since the official correspondence had not been released. It is surprising that da Costa did not know that the Grigg Papers and the India Office Records were available for research.

An attempt to fill this glaring gap in the literature on this subject was first made by Rajul Mathur in a paper which was primarily concerned with exploring the delay in the setting up of the RBI to which we have already adverted to in a preceding Chapter. In this paper, Mathur gives some details of the background and circumstances of Smith's departure, but her's is by no means an exhaustive account of this complex episode, focusing as it does on the delay in the formation of the RBI, giving the India Office perspective, and relying largely on India Office records. Still, her work was a substantial improvement over the official *History* in throwing some much needed light on this subject.

This gap in the early history of the RBI was filled to some extent with the publication of Anand Chandavarkar's article in August 2000, in which he gives a fairly detailed account of this episode using the Grigg Papers and citing important correspondence between Grigg and Samuel Findlater